

Baidu BIDU.OQ BIDU US

EQUITY: INTERNET & NEW MEDIA

2Q26F preview: weak ads, strong AI cloud

Net profit likely miss on higher non-op loss; maintain Buy

2Q26F preview: ads headwinds likely persisted while AI cloud gained steam

Baidu General Business's [BGB, excluding iQIYI (IQ US, Neutral)] revenue likely declined 4.5% y-y to CNY25.1bn in 2Q26F, which is 1% below the latest Bloomberg consensus. Its ads revenue likely dropped 22% y-y in 2Q, owing to persistent competition from AI chatbot, which is changing the way how users find their desired information. In contrast, we forecast Baidu's cloud revenue likely increased 37% y-y in 2Q, 9% above the latest Bloomberg consensus. Of this, its AI infrastructure revenue likely maintained strong growth momentum, with 51% y-y growth to CNY7.4bn.

Baidu BGB's non-GAAP operating profit (OP) likely fell 14% y-y to CNY3.8bn in 2Q26F due to margin pressure (down 1.7pp y-y in non-GAAP OPM) from weakened high-margin ads business, but likely managed to beat the consensus by 3%. Its non-GAAP net profit likely slid 56% y-y to CNY2.1bn, missing the latest Bloomberg consensus of CNY3.5bn, mainly due to higher non-operating loss, in our view. Consequently, we estimate its non-GAAP net profit margin (NPM) contracted 9.8pp y-y to 8.5% in 2Q26F.

The planned IPO of Kunlunxin (unlisted) remains a key event to watch among Baidu's investors. We think the IPO is still pending approval from Chinese CSRC. As usual, the Chinese regulator usually offers little visibility as to when an approval can be expected for pre-IPO entities.

Maintain Buy and lower TP to USD170

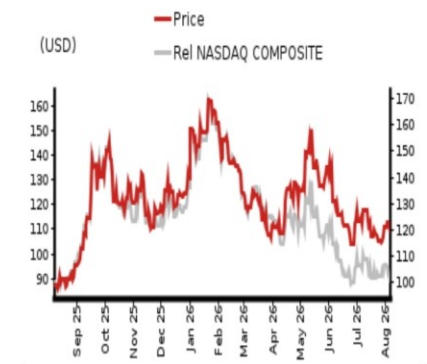
We cut Baidu BGB's FY26F/27F non-GAAP operating profit by 6%/5% as we lower our estimates for the ads business. We maintain our Buy rating but lower our SOTP-based TP to USD170 from USD190, implying a FY26F P/E of 22x (vs a FY26F P/E of 24x previously). The stock currently trades at 14.4x FY26F P/E.

Year-end 31 Dec	FY25	FY26F		FY27F		FY28F	
Currency (CNY)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	129,079	132,028	130,564	143,447	141,382	163,761	161,420
Reported net profit (mn)	5,589	16,460	14,606	17,973	16,650	20,663	18,590
Normalised net profit (mn)	18,941	19,252	17,399	20,445	19,122	22,855	20,781
FD normalised EPS	55.22	56.13	50.72	59.61	55.75	66.63	60.59
FD norm. EPS growth (%)	-28.5	1.6	-8.1	6.2	9.9	11.8	8.7
FD normalised P/E (x)	14.1	—	14.4	—	13.1	—	12.1
EV/EBITDA (x)	8.4	—	8.0	—	7.6	—	6.3
Price/book (x)	1.0	—	0.9	—	0.8	—	0.8
Dividend yield (%)	—	—	—	—	—	—	—
ROE (%)	2.1	6.0	5.3	6.1	5.7	6.5	5.9
Net debt/equity (%)	24.3	17.6	18.4	15.8	16.9	9.6	11.0

Source: Company data, Nomura estimates

Rating	Buy
Remains	
Target price	USD 170.00
Reduced from	USD 190.00
Closing price	USD 109.33
6 August 2026	
Implied upside	+55.5%
Market Cap (USD mn)	37,204.2
ADT (USD mn)	302.8

Relative performance chart



Source: LSEG, Nomura

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Key data on Baidu

Performance

(%)	1M	3M	12M		
Absolute (USD)	-4.4	-22.2	25.9	M cap (USDmn)	37,204.2
Absolute (USD)	-4.4	-22.2	25.9	Free float (%)	78.9
Rel to NASDAQ COMPOSITE	-5.3	-24.2	1.5	3-mth ADT (USDmn)	302.8

Income statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	133,125	129,079	130,564	141,382	161,420
Cost of goods sold	-66,102	-72,436	-77,603	-83,318	-94,346
Gross profit	67,023	56,643	52,961	58,064	67,074
SG&A	-41,430	-43,060	-39,977	-44,075	-50,969
Employee share expense	-4,323	-3,216	-2,850	-2,562	-2,312
Operating profit	21,270	10,367	10,135	11,427	13,793
EBITDA	35,898	24,966	24,771	27,135	31,565
Depreciation	-6,844	-7,907	-7,867	-8,378	-9,404
Amortisation	-7,784	-6,692	-6,769	-7,330	-8,369
EBIT	21,270	10,367	10,135	11,427	13,793
Net interest expense	5,138	5,818	5,500	5,000	5,000
Associates & JCEs					
Other income	2,214	6,721	2,300	4,000	4,000
Earnings before tax	28,622	22,906	17,935	20,427	22,793
Income tax	-4,447	-1,259	-3,228	-3,677	-4,103
Net profit after tax	24,175	21,647	14,706	16,750	18,690
Minorities	-415	132	-100	-100	-100
Other items	3,242	-2,838	2,792	2,472	2,191
Preferred dividends					
Normalised NPAT	27,002	18,941	17,399	19,122	20,781
Extraordinary items	-3,242	-13,352	-2,792	-2,472	-2,191
Reported NPAT	23,760	5,589	14,606	16,650	18,590
Dividends					
Transfer to reserves	23,760	5,589	14,606	16,650	18,590

Valuations and ratios

Reported P/E (x)	11.6	47.9	17.2	15.1	13.5
Normalised P/E (x)	10.2	14.1	14.4	13.1	12.1
FD normalised P/E (x)	10.2	14.1	14.4	13.1	12.1
Dividend yield (%)	—	—	—	—	—
Price/cashflow (x)	13.0	—	6.7	8.9	5.3
Price/book (x)	1.1	1.0	0.9	0.8	0.8
EV/EBITDA (x)	5.5	8.4	8.0	7.6	6.3
EV/EBIT (x)	9.2	20.3	19.6	18.1	14.4
Gross margin (%)	50.3	43.9	40.6	41.1	41.6
EBITDA margin (%)	27.0	19.3	19.0	19.2	19.6
EBIT margin (%)	16.0	8.0	7.8	8.1	8.5
Net margin (%)	17.8	4.3	11.2	11.8	11.5
Effective tax rate (%)	15.5	5.5	18.0	18.0	18.0
Dividend payout (%)	0.0	0.0	0.0	0.0	0.0
ROE (%)	9.4	2.1	5.3	5.7	5.9
ROA (pretax %)	5.6	2.5	2.4	2.6	3.0
Growth (%)					
Revenue	-1.1	-3.0	1.2	8.3	14.2
EBITDA	-2.4	-30.5	-0.8	9.5	16.3
Normalised EPS	-4.5	-28.5	-8.1	9.9	8.7
Normalised FDEPS	-4.5	-28.5	-8.1	9.9	8.7

Source: Company data, Nomura estimates

Cashflow statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	35,898	24,966	24,771	27,135	31,565
Change in working capital	-2,768	-10,696	5,102	-7,222	8,563
Other operating cashflow	-11,896	-17,283	7,768	8,202	7,507
CF from operations	21,234	-3,013	37,641	28,115	47,636
Capital expenditure	-8,259	-13,417	-25,244	-27,591	-32,099
Free cashflow	12,975	-16,430	12,397	523	15,537
Reduction in investments	-16,577	0	0	0	
Net acquisitions					
Dec in other LT assets	2,676	0	0	0	
Inc in other LT liabilities	729	0	0	0	
Adjustments	-296	1,453	0	0	0
CF after investing acts	12,679	-28,149	12,397	523	15,537
Cash dividends	0	0	0	0	0
Equity issue	41	0	0	0	0
Debt issue	16,296	32,202	0	0	0
Convertible debt issue	0	2,490	0	0	0
Others	-29,221	-18,241	121	157	204
CF from financial acts	-12,884	16,451	121	157	204
Net cashflow	-205	-11,698	12,518	680	15,742
Beginning cash	36,734	36,529	24,831	37,349	38,030
Ending cash	36,529	24,831	37,349	38,030	53,772
Ending net debt	34,109	64,681	52,163	51,482	35,740

Balance sheet (CNYmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	36,529	24,831	37,349	38,030	53,772
Marketable securities	102,608	90,661	90,661	90,661	90,661
Accounts receivable	10,104	12,972	11,800	16,574	17,591
Inventories	0	0	0	0	0
Other current assets	19,608	23,506	23,506	23,506	23,506
Total current assets	168,849	151,970	163,317	168,771	185,529
LT investments	140,256	168,780	168,780	168,780	168,780
Fixed assets	30,102	26,281	42,298	60,040	81,054
Goodwill	22,586	36,783	36,783	36,783	36,783
Other intangible assets	22,397	24,429	19,019	13,162	6,474
Other LT assets	43,590	40,914	40,914	40,914	40,914
Total assets	427,780	449,157	471,111	488,449	519,534
Short-term debt	19,105	28,410	28,410	28,410	28,410
Accounts payable	41,443	38,891	41,645	38,887	45,585
Other current liabilities	20,405	19,027	20,203	20,512	23,395
Total current liabilities	80,953	86,328	90,258	87,810	97,390
Long-term debt	51,943	61,102	61,102	61,102	61,102
Convertible debt					
Other LT liabilities	11,272	12,001	12,001	12,001	12,001
Total liabilities	144,168	159,431	163,361	160,913	170,493
Minority interest	19,992	23,396	23,496	23,596	23,696
Preferred stock					
Common stock	91,586	94,979	95,100	95,257	95,461
Retained earnings	180,073	177,694	195,497	215,026	236,227
Proposed dividends					
Other equity and reserves	-8,039	-6,343	-6,343	-6,343	-6,343
Total shareholders' equity	263,620	266,330	284,254	303,940	325,345
Total equity & liabilities	427,780	449,157	471,111	488,449	519,534

Liquidity (x)

Current ratio	2.09	1.76	1.81	1.92	1.91
Interest cover	—	—	—	—	—

Leverage

Net debt/EBITDA (x)	0.95	2.59	2.11	1.90	1.13
Net debt/equity (%)	12.94	24.29	18.35	16.94	10.99

Per share

Reported EPS (CNY)	67.93	16.29	42.58	48.54	54.20
Norm EPS (CNY)	77.20	55.22	50.72	55.75	60.59
FD norm EPS (CNY)	77.20	55.22	50.72	55.75	60.59
BVPS (CNY)	755.90	781.60	842.63	900.98	964.44
DPS (CNY)	0.00	0.00	0.00	0.00	0.00

Activity (days)

Days receivable	28.7	32.6	34.6	36.6	38.7
Days inventory	0.0	0.0	0.0	0.0	0.0
Days payable	218.6	202.4	189.4	176.4	163.8
Cash cycle	-189.8	-169.8	-154.8	-139.8	-125.1

Source: Company data, Nomura estimates

Company profile

Baidu operates China's largest internet search engine. It offers online marketing service and cloud service, among others. Its subsidiary iQIYI offers long-form video entertainment service.

Valuation Methodology

Our SOTP-based TP is USD170. We value Baidu Core's ads business at USD2.1bn, based on a FY27F P/E of 3x. We value Baidu's new businesses including cloud, chips, SaaS and Robotaxi, etc. at USD31.5bn. The benchmark index for the stock is Nasdaq Composite.

Risks that may impede the achievement of the target price

Downside risks include: 1) faster-than-expected deterioration in its traditional search ads; 2) slower-than-expected cloud and chip revenue; and 3) new regulations on other ad verticals.

ESG

Baidu's business is environmental friendly as it does not cause pollution or generate greenhouse gas. The company has also been investing in electric vehicle business.

Fig. 1: Baidu General Business – 2Q26F results preview

Baidu General Business (BGB, Baidu ex-iQIYI)							
CNYmn	2Q26F	1Q26	2Q25	YoY	QoQ	Cons.	vs Cons.
Revenue	25,064	26,001	26,251	-4.5%	-3.6%	25,411	-1%
incl. Online marketing	12,577	12,600	16,213	-22.4%	-0.2%	12,925	-3%
AI Cloud	9,987	11,300	7,300	36.8%	-11.6%	9,177	9%
- AI Cloud Infra	7,419	8,800	4,900	51.4%	-15.7%	na	na
- AI Applications	2,568	2,500	2,400	7.0%	2.7%	na	na
Others	2,500	2,101	2,738	-8.7%	19.0%	3,309	-24%
Non-GAAP OP	3,765	3,950	4,385	-14.1%	-4.7%	3,644	3%
Non-GAAP OP margin	15.0%	15.2%	16.7%	-1.7ppt	-0.2ppt	14.3%	0.7ppt
Non-GAAP NP	2,130	4,434	4,792	-56%	-52%	3,473	-39%
Non-GAAP NP margin	8.5%	17.1%	18.3%	-9.8ppt	-8.6ppt	13.7%	-5.2ppt

Source: Company data, Bloomberg Finance L.P., Nomura estimates

Fig. 2: Baidu consolidated – 2Q26F results preview

2Q26F results preview							
CNYmn	2Q26F	1Q26	2Q25	YoY	QoQ	Cons.	vs Cons.
Revenues	31,268	32,075	32,713	-4%	-3%	31,944	-2%
Gross profit	12,701	12,486	14,356	-12%	2%	13,091	-3%
Gross margin	40.6%	38.9%	43.9%	-3.3ppt	1.7ppt	41.0%	-0.4ppt
Non-GAAP op	3,769	3,807	4,445	-15%	-1%	3,649	3%
Non-GAAP op margin	12.1%	11.9%	13.6%	-1.5ppt	0.2ppt	11.4%	0.6ppt
Non-GAAP net profit	2,241	4,332	4,795	-53%	-48%	3,653	-39%
Non-GAAP net margin	7.2%	13.5%	14.7%	-7.5ppt	-6.3ppt	11.4%	-4.3ppt
Non-GAAP EPS (CNY)	6.52	12.06	13.58	-52%	-46%	10.85	-40%

Source: Company data, Bloomberg Finance L.P., Nomura estimates

Fig. 3: Baidu General Business – earnings estimate revisions

Nomura's Baidu General Business new estimates vs old						
(CNYmn)	FY26F			FY27F		
	New	Old	Diff	New	Old	Diff
Revenue	105,596	107,060	-1%	115,548	117,612	-2%
Gross profit	48,732	50,104	-3%	53,152	54,807	-3%
Gross margin	46%	47%	-0.7ppt	46%	47%	-0.6ppt
Non-GAAP operating profit	13,540	14,417	-6%	13,865	14,575	-5%
Non-GAAP op margin	12.8%	13.5%	-0.6ppt	12.0%	12.4%	-0.4ppt

Source: Nomura estimates

Fig. 4: Baidu consolidated – earnings estimate revisions

Nomura new estimates vs old						
(CNYmn except EPS)	FY26F			FY27F		
	New	Old	Diff	New	Old	Diff
Revenue	130,564	132,028	-1%	141,382	143,447	-1%
Gross profit	52,961	54,333	-3%	58,064	59,720	-3%
Gross margin	40.6%	41.2%	-0.6ppt	41.1%	41.6%	-0.6ppt
Non-GAAP operating profit	13,587	14,464	-6%	14,550	15,260	-5%
Non-GAAP op margin	10.4%	11.0%	-0.5ppt	10.3%	10.6%	-0.3ppt
Non-GAAP net profit	17,399	19,252	-10%	19,122	20,445	-6%
Non-GAAP EPS (CNY)	50.72	56.13	-10%	55.75	59.61	-6%

Source: Nomura estimates

Fig. 5: Baidu – SOTP valuation

USDbn	Valuation (USDbn)	Stake	Attributable valuation to Baidu	Valuation methodology	Note
Baidu General Business: ads business	2.1	100%	2.1	3x FY27F P/E (vs 4x FY26F P/E previously)	(1)
Baidu General Business: New businesses					
Baidu Cloud, excl. Kunlunxin	27.1	100%	27.1	4x FY26F P/S (unchanged)	
Kunlunxin chips (KLX)	40.4	58%	23.4	40% of Cambricon's latest market cap (unchanged)	Implied 16x FY27F KLX's sales, ~20% discount to Cambricon's
Robotaxi	2.0	100%	2.0	Average of the latest market cap of Weiride and Pony AI	
EV of new businesses			52.5		
Execution risks discount			40%		
Net EV of new businesses			31.5		(2)
Non-core and holding assets					
iQiyi (IQ US, Neutral)	1.2	45%	0.6		Nomura's target valuation for iQIYI
Trip.com (TCOM US, Neutral)	33.7	7.0%	2.4		Nomura's target valuation for Trip.com
EV of non-core assets			2.9		
Holding discount			60%		
Net EV of non-core assets			1.2		(3)
Total EV: (1)+(2)+(3)			34.8		
Net cash (ex-iQIYI)			29.3		
Net cash for SOTP			23.5		
Market cap			58.3		
TP (USD)			170		

Source: Company data, Bloomberg Finance L.P., Nomura estimates

Appendix A-1

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Materially mentioned issuers

Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Baidu	BIDU US	USD 109.33	06-Aug-2026	Buy	N/A	A10,A35
iQIYI Inc	IQ US	USD 1.29	06-Aug-2026	Neutral	N/A	
Trip.com	TCOM US	USD 46.24	06-Aug-2026	Neutral	N/A	A10

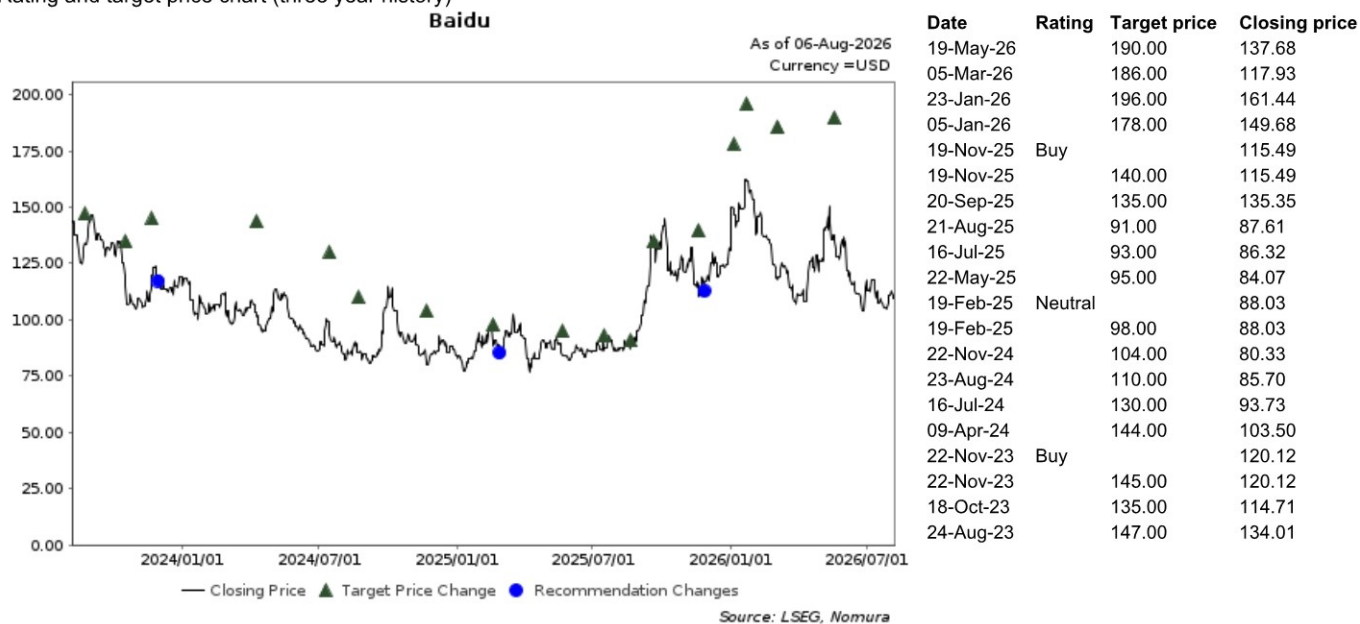
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Baidu (BIDU US)

USD 109.33 (06-Aug-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our SOTP-based TP is USD170. We value Baidu Core's ads business at USD2.1bn, based on a FY27F P/E of 3x. We value Baidu's new businesses including cloud, chips, SaaS and Robotaxi, etc. at USD31.5bn. The benchmark index for the stock is Nasdaq Composite.

Risks that may impede the achievement of the target price Downside risks include: 1) faster-than-expected deterioration in its traditional search ads; 2) slower-than-expected cloud and chip revenue; and 3) new regulations on other ad verticals.

iQIYI Inc (IQ US)**USD 1.29 (06-Aug-2026)** Neutral (Sector rating: N/A)

Rating and target price chart (three year history)



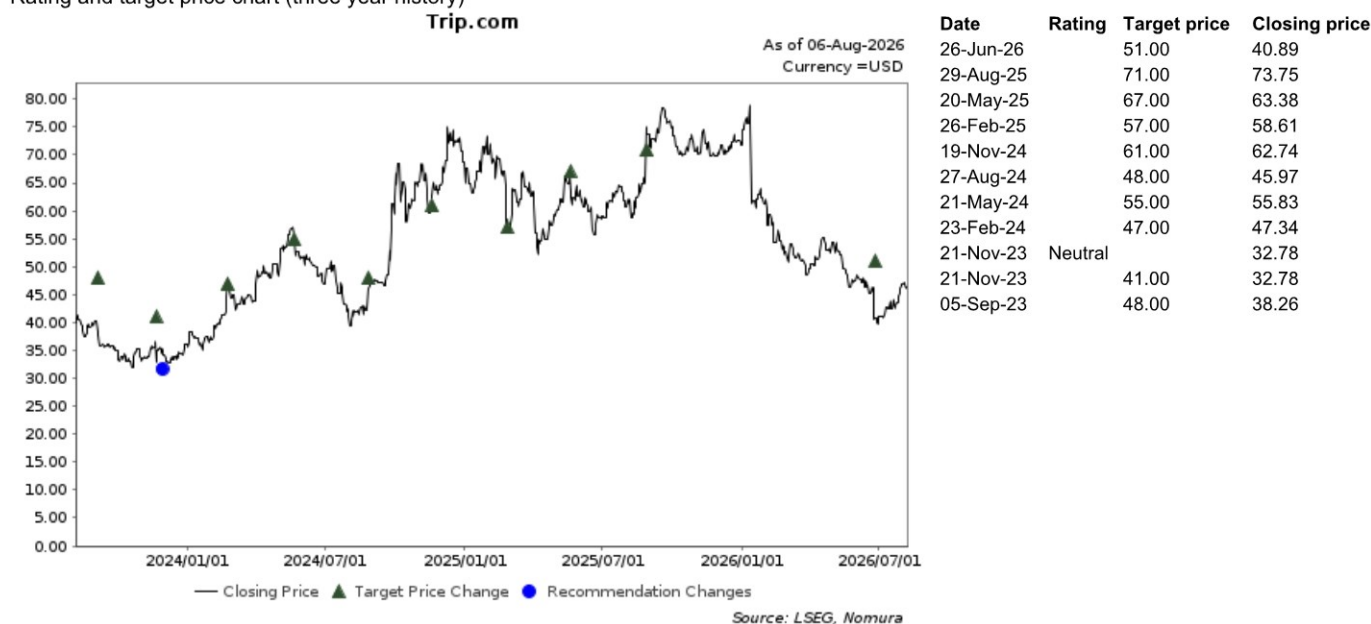
For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We set our TP at USD1.3, based on DCF valuation methodology, assuming a WACC of 9.7% and a terminal growth rate of 1%, with cash flows discounted back to FY26F. The benchmark index for the stock is Nasdaq Composite.

Risks that may impede the achievement of the target price Upside risks include: better-than-expected MAUs and subscriber growth; better-than-expected financial contribution from overseas and experience businesses; operating efficiency improvement from the execution of favourable regulatory policies and the application of AI technology. Downside risks include: 1) further deterioration in user growth and time spent by other entertainment contents, 2) intensified competition among long-form video platforms for users and content, and 3) further regulatory risks related to online video platforms or video content.

Trip.com (TCOM US)**USD 46.24 (06-Aug-2026)** Neutral (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We value Trip.com at USD51, based on 12x FY27F P/E. The benchmark index for the stock is Nasdaq Composite.

Risks that may impede the achievement of the target price Upside risks: (1) stronger-than-expected average spending per traveller; (2) faster-than-expected resumption of outbound travel with increasing international flight capacity, and; (3) sustained solid growth momentum for the China domestic travel market. Downside risks include: 1) a severe downturn in the global economy due to natural or man-made disasters; and 2) intensifying competition from emerging players.

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As at 30 June 2026.

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STOCKS

A rating of '**Buy**', indicates that the analyst expects the stock to outperform the Benchmark over the next 12 months. A rating of '**Neutral**', indicates that the analyst expects the stock to perform in line with the Benchmark over the next 12 months. A rating of '**Reduce**', indicates that the analyst expects the stock to underperform the Benchmark over the next 12 months. A rating of '**Suspended**', indicates that the rating, target price and estimates have been suspended temporarily to comply with applicable regulations and/or firm policies. Securities and/or companies that are labelled as '**Not rated**' or shown as '**No rating**' are not in regular research coverage. Investors should not expect continuing or additional information from Nomura relating to such securities and/or companies. Benchmarks are as follows: **United States/Europe/Asia ex-Japan**: please see valuation methodologies for explanations of relevant benchmarks for stocks, which can be accessed at:

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Target Price

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